Part XIV

THE FAR EAST AND SOUTHEAST ASIA

A. THE BASIC POSITION OF THE UNITED STATES

1. REVIEW OF THE POSITION AS OF 1950: Address by the Secretary of State, January 12, 1950 [1]

FOUNDATIONS OF POLICY

This afternoon I should like to discuss with you the relations between the peoples of the United States and the peoples of Asia, and I used the words "relations of the peoples of the United States and the peoples of Asia" advisedly. I am not talking about governments or nations because it seems to me what I want to discuss with you is this feeling of mine that the relations depend upon the attitudes of the people; that there are fundamental attitudes, fundamental interests, fundamental purposes of the people of the United States, 150 million of them, and of the peoples of Asia, unnumbered millions, which determine and out of which grow the relations of our countries and the policies of our governments. Out of these attitudes and interests and purposes grow what we do from day to day.

Now, let's dispose of one idea right at the start and not bother with it any more. That is that the policies of the United States are determined out of abstract principles in the Department of State or in the White House or in the Congress. That is not the case. If these policies are going to be good, they must grow out of the fundamental attitudes of our people on both sides. If they are to be effective, they must become articulate through all the institutions of our national life, of which this is one of the greatest—through the press, through the radio, through the churches, through the labor unions, through the business organizations, through all the groupings of our national life, there must become articulate the attitudes of our people and the policies which we propose to follow. It seems to me that understanding is the beginning of wisdom and therefore, we shall begin by trying

[1] Made before the National Press Club, Washington; Department of State *Bulletin*, Jan. 23, 1950, pp. 111–118.

Kashmir, and to the utter difficulties—economic difficulties growing out of the differences in devaluation, settlement of monetary plans back and forth, et cetera. We know that they have assured one another, and they have assured the world, that as stubborn as these difficulties may be and difficult as they may be of solution, they are not going to resort to war to solve them. We are glad to hear these assurances and the whole world is glad to hear it, but we know also that the problems are in such a situation and in such an area that they are most inflammable, and we believe that in addition to these most desirable assurances there should be some accommodation of wills to bring about a result as soon as possible.

In India and in Pakistan we are willing to be of such help as we can be. Again, the responsibility is not ours. Again we can only be helpful friends. Again the responsibility lies with people who have won their freedom and who are very proud of it.

The New Day for Asia

So after this survey, what we conclude, I believe, is that there is a new day which has dawned in Asia. It is a day in which the Asian peoples are on their own, and know it, and intend to continue on their own. It is a day in which the old relationships between east and west are gone, relationships which at their worst were exploitation, and which at their best were paternalism. That relationship is over, and the relationship of east and west must now be in the Far East one of mutual respect and mutual helpfulness. We are their friends. Others are their friends. We and those others are willing to help, but we can help only where we are wanted and only where the conditions of help are really sensible and possible. So what we can see is that this new day in Asia, this new day which is dawning, may go on to a glorious noon or it may darken and it may drizzle out. But that decision lies within the countries of Asia and within the power of the Asian people. It is not a decision which a friend or even an enemy from the outside can decide for them.

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2. REVIEW OF THE POSITION AS OF 1955: Address by the Secretary of State, February 16, 1955 (Excerpts)[1]

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Far East Security Treaties

In the Far East the United States has responded to the desire of others that we join with them to assure their security. During the last 4 years, the United States has become party to security treaties with Korea, Japan, the Republic of China on Formosa, the Philip-

[1] Made before the Foreign Policy Association, New York; Department of State *Bulletin*, Feb. 28, 1955, pp. 328–331.

pines, Australia and New Zealand.[1] Also we have joined the eight-power Manila Pact for the security of Southeast Asia.[2]

The total of these treaties is a mutual security system which, starting from the Aleutian Islands in the North, runs in a great arc to the South Pacific. This constitutes a defensive bulwark for freedom in that part of the world.

What has thus been done by many nations is important. Also important is the manner in which the United States has played its part, particularly during recent days.

When the Congress convened last January, it was organized by the Democratic Party. So when the Manila Pact and the China treaty were submitted, they were submitted by a Republican President to a Democrat-controlled body. The same was true of President Eisenhower's request for Congressional authority to use the armed forces of the United States in the Formosa area.[3]

Nevertheless, the two treaties were ratified and the Congressional authority was granted. This was done promptly and with virtual unanimity.[4]

These events demonstrate a national unity and capacity of action which is needed in the world today. Too often representative processes lead to such partisanship and such consequent delays that hostile forces are encouraged to believe that democracies are inherently ineffective. The Government of the United States has shown the contrary. Partisanship was wholly subordinated to the national good, so that action of great importance could be taken with deliberation, but with decisiveness.

For this the nation can be grateful to the leadership and to the general membership of both parties in the Congress. I know that they would expect me to pay special tribute to Walter F. George, who, as Chairman of the Senate Foreign Relations Committee, carried the heaviest aggregate burden of responsibility in relation to the three acts to which I refer.

We can all take pride, as Americans, in this demonstration of national unity and capacity. Because of it, free men throughout the world can face the future with better hope and new confidence.

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Mutual Defense Treaty With China

Let me turn now to deal with some of the substantive problems which arise out of the two Far Eastern treaties to which I have referred—the China treaty and the Manila Pact.

The United States is firmly committed to the defense of Formosa and the Pescadores. These islands became part of the Japanese Empire

[1] See, respectively, the treaties of Oct. 1, 1953 (*supra*, pp. 897–898), Sept. 8, 1951 (*supra*, pp. 885–886), Dec. 2, 1954 (*supra*, 945–947), Aug. 30, 1951 (*supra*, pp. 873–875), and Sept. 1, 1951 (*supra*, pp. 878–880).

[2] Treaty and protocol of Sept. 8, 1954; *supra*, pp. 912–916.

[3] See *infra*, pp. 2483–2486.

[4] For Congressional action on the Manila Pact, the security treaty with China, and the Formosa (Taiwan) resolution, see *supra*, pp. 929–945 and 957–965, and *infra*, pp. 2486-2487.

in 1895.[1] They continued as such for half a century, until they were relinquished by Japan as a result of her defeat in war [2]—a defeat principally wrought by the efforts and sacrifices of the United States.

These islands form an important part of the Western Pacific defense system which I have described. The people of the islands eagerly seek our help.

Thus Formosa and the Pescadores have been properly a matter of concern to the United States.

In 1945 our long-time ally, the Republic of China, was entrusted with authority over these islands.[3] In 1950, when the aggression against Korea occurred, President Truman ordered our Pacific fleet to defend Formosa against possible Chinese Communist attack.[4] Now, that determination has been converted into our Mutual Defense Treaty with the Republic of China.

It is important to note that the treaty, except as it relates to United States territories, covers only the islands of Formosa and the Pescadores, and an armed attack directed against those islands. The Congressional authority is to secure and protect Formosa and the Pescadores against armed attack, and to make secure and to protect "related positions and territories" as the President judges "this would be required or appropriate in assuring the defense of Formosa and the Pescadores."

The President did not use our armed forces to help the Chinese Nationalists to hold the Tachen Islands and Yushan and Pishan,[5] lying some 200 miles north of Formosa. These islands were virtually unrelated to the defense of Formosa and the Pescadores. We helped the Chinese Nationalists to evacuate these islands and regroup their forces, so as to avoid a bloody and wasteful battle which would have inflamed public emotions. Thus, Nationalist China and the United States have made an important contribution to the cause of peace.

It has been suggested that Nationalist China should go further and surrender to the Chinese Communists the coastal positions which the Communists need to stage their announced attack on Formosa. It is doubtful that this would serve either the cause of peace or the cause of freedom.

The Chinese Communists have been the initiators of violence in this area. They have already formally declared their intention to take Formosa by force. If the Chinese Nationalists now oblige by making it easier for the Chinese Communists to conquer Formosa, will they be less apt to do so? I doubt it.

The United States has no commitment and no purpose to defend the coastal positions as such. The basic purpose is to assure that Formosa and the Pescadores will not be forcibly taken over by the Chinese

[1] Treaty of Apr. 17, 1895; *British and Foreign State Papers*, vol. 87, pp. 795–805.

[2] See instrument of surrender, Sept. 2, 1945; *A Decade of American Foreign Policy*, pp. 625–626.

[3] See General Order No. 1, Sept. 2, 1945; *The Political Reorientation of Japan, September 1945 to September 1948: Report of Government Section, Supreme Commander for the Allied Powers*, vol. II, p. 442.

[4] See President Truman's statement of June 27, 1950; *infra*, pp. 2539–2540.

[5] See statement of Feb. 8, 1955, by the Department of State; *infra*, pp. 2690–2691.

their purpose that territories Japan had stolen from China, such as Formosa, should be restored to the Republic of China. The United States was a signatory to the Potsdam declaration of July 26, 1945,[1] which declared that the terms of the Cairo declaration should be carried out. The provisions of this declaration were accepted by Japan at the time of its surrender.[2] In keeping with these declarations, Formosa was surrendered to Generalissimo Chiang Kai-shek,[3] and for the past 4 years, the United States and the other Allied Powers have accepted the exercise of Chinese authority over the Island.

The United States has no predatory designs on Formosa or on any other Chinese territory. The United States has no desire to obtain special rights or privileges or to establish military bases on Formosa at this time. Nor does it have any intention of utilizing its armed forces to interfere in the present situation. The United States Government will not pursue a course which will lead to involvement in the civil conflict in China.

Similarly, the United States Government will not provide military aid or advice to Chinese forces on Formosa. In the view of the United States Government, the resources on Formosa are adequate to enable them to obtain the items which they might consider necessary for the defense of the Island. The United States Government proposes to continue under existing legislative authority the present ECA program of economic assistance.

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61. ELABORATION OF POLICY RESPECTING THE STATUS OF FORMOSA (TAIWAN): Remarks by the Secretary of State at a Special News Conference, January 5, 1950 [4]

I am having this conference this afternoon at the request and at the direction of the President for the purpose of going into the background of the statement which he made this morning on the subject of Formosa.[5]

I should like to make a few remarks on this subject for the purpose of trying to put it in its setting for you, and then we will get down into such details as you want to get into.

Why was the statement made at this particular time? That is a question that arises in all of your minds and I want to recall to you that I have said very often in these meetings that the foreign policy of the United States is determined not merely by what the State Department says, or not even by what the President says, and not even by what the Congress says, but reflects the sum total of the activities, thoughts, and speech of the American people. For the past week or

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[1] *A Decade of American Foreign Policy*, pp. 49–50.

[2] Instrument of surrender, Sept. 2, 1945; *ibid.*, pp. 625–626.

[3] See General Order No. 1 by the Japanese Imperial Headquarters, Sept. 2, 1945; *The Political Reorientation of Japan, September 1945 to September 1948*, vol. II, pp. 443–445.

[4] Department of State *Bulletin*, Jan. 16, 1950, pp. 79–81.

[5] *Supra.*

10 days, this subject of Formosa has become one of the foremost subjects of discussion throughout the country.

The ordinary processes of life in this town of Washington have made their contribution. We have had leak and counterleak, gossip and countergossip. We have had the contributions of distinguished statesmen in the debate. We have had a great deal of talk in the press and on the radio. Much of that is good and much of that is desirable, and all of it has to go on to make the United States the democracy that it is. But we slide very easily from discussion to the statement of fact. I have here a distinguished foreign newspaper dated Friday last [December 30] which announces as a fact that President Truman has decided, et cetera, and et cetera, giving something which President Truman had not decided and had not intended to decide. Therefore, what has occurred is that we have gotten a great deal of confusion in the minds of our own people. We have gotten a great deal of confusion in the minds of foreign people. We have stirred up a good deal of speculation, all of which, if allowed to continue, would be highly prejudicial to the interests of the United States of America. And therefore, it was the President's desire to clarify the situation. He was not primarily concerned in stating anything new, and you will find very little which is new in the statement. What he was interested in doing was bringing clarity out of confusion.

That, I think, gives you the background as to why it was necessary to make the statement at the present time. It would have been desirable from our point of view if the whole question of the Far East, and all of the parts of the Far East and of Formosa, which after all is a small part of the great question of the Far East, could have been discussed very fully with members of both parties on the Hill before any statement was made. But one has to choose in this life, and it was more important to clarify thinking than it was to go on and have the most desirable of all possible things which is consultation.

Now, getting down to this statement, let's be clear about one or two things. There has been a great deal of amateur military strategy indulged in in regard to this matter of Formosa. The underlying factors in the decision are not in that area. They have to do with the fundamental integrity of the United States and with maintaining in the world the belief that when the United States takes a position it sticks to that position and does not change it by reason of transitory expediency or advantage on its part. If we are going to maintain the free nations of the world as a great unit opposed to the encroachment of communism and other sorts of totalitarian aggression, the world must believe that we stand for principle and that we are honorable and decent people and that we do not put forward words, as propagandists do in other countries, to serve their advantage only to throw them overboard when some change in events makes the position difficult for us.

We believe in integrity in our foreign relations. We believe also in respect of the integrity of other countries. That is a view not held by some other countries. That is a view not held by some other countries with respect to China.

It is important that our position in regard to China should never be subject to the slightest doubt or the slightest question.

Now, what has that position been? In the middle of the war, the President of the United States, the Prime Minister of Great Britain, and the President of China agreed at Cairo that among the areas stolen from China by Japan was Formosa and Formosa should go back to China.

As the President pointed out this morning, that statement was incorporated in the declaration at Potsdam and that declaration at Potsdam was conveyed to the Japanese as one of the terms of their surrender [1] and was accepted by them, and the surrender was made on that basis.

Shortly after that, the Island of Formosa was turned over to the Chinese in accordance with the declarations made and with the conditions of the surrender.

The Chinese have administered Formosa for 4 years. Neither the United States nor any other ally ever questioned that authority and that occupation. When Formosa was made a province of China nobody raised any lawyers' doubts about that. That was regarded as in accordance with the commitments.

Now, in the opinion of some, the situation is changed. They believe that the forces now in control of the mainland of China, the forces which undoubtedly will soon be recognized by some other countries, are not friendly to us, and therefore they want to say, "Well, we have to wait for a treaty." We did not wait for a treaty on Korea.[2] We did not wait for a treaty on the Kuriles.[3] We did not wait for a treaty on the islands over which we have trusteeship.[4]

Whatever may be the legal situation, the United States of America, Mr. Truman said this morning, is not going to quibble on any lawyers' words about the integrity of its position. That is where we stand.

Therefore, the President says, we are not going to use our forces in connection with the present situation in Formosa. We are not going to attempt to seize the Island. We are not going to get involved militarily in any way on the Island of Formosa. So far as I know, no responsible person in the Government, no military man has ever believed that we should involve our forces in the island.

I do not believe that is new policy. It would be new policy if we decided to do that. The President is affirming what so far as I know

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[1] Instrument of surrender, Sept. 2, 1945; *A Decade of American Foreign Policy*, pp. 625–626.

[2] General Order No. 1 provided that Soviet forces should receive the Japanese surrender north of the thirty-eighth parallel and that American forces should receive the Japanese surrender south of that line. After efforts to unite the country had failed because of Soviet obstruction, free elections were held in South Korea under U. N. supervision, May 10, 1948. The Republic of Korea, established, Aug. 15, 1948, as a result of these elections, was subsequently recognized by the United States and the United Nations.

[3] General Order No. 1 provided that Soviet forces should receive the Japanese surrender in the Kuriles.

[4] General Order No. 1 provided that American forces should receive the Japanese surrender in the Mandated Islands (now known as the Trust Territory of the Pacific Islands).

has been the view of his Administration, and the unquestioned view ever since I have known about it.

The President goes on to say that we do not intend to give military assistance or advice, that is matériel and military people, to the forces on Formosa, and he says why. He says that there are resources on that Island which are adequate to enable those on the island to obtain whatever necessary military supplies they believe they have to have. That is against a background of very considerable gifts on our part at a time when the Government on Formosa was recognized by everybody as the Government of China and was in control of a very large part of China.[1] We gave vast amounts of military equipment to that government after the war up until 1948. In 1948 another act of Congress [2] was passed, and 125 million dollars of military equipment was turned over.

That is not where the difficulty lies in maintaining the Island by the forces on it. It is not that they lack rifles or ammunition or that, if they do have any deficiencies in any of those, they cannot purchase what they need. That is not the trouble. The trouble lies elsewhere, and it is not the function of the United States nor will it or can it attempt to furnish a will to resist and a purpose for resistance to those who must provide for themselves.

That is the background of this statement. The President goes on to say that in regard to economic assistance which we have been furnishing,[3] we will furnish it for as long as the legislation that Congress has passed permits us to. Whether that legislation will be extended or not, I don't wish to prejudice this afternoon. That is a matter for discussion with the leaders, and for action by the Congress.

We have been, through the ECA, conducting programs one of which has resulted in all the fertilizer necessary for the spring crop on the Island of Formosa. Others have been the purchase of necessary oil for refining on the Island and for running the power plants and other things on the Island. Other programs have had to do with keeping their power plants and other factories in repair and in operation. Those are going forward.

Now those are the main statements of background which I wish to make. I am informed by Mr. McDermott that some of you wish me to say what if any significance is to be attached to the sentence in the next-to-last paragraph of the statement which says, "The United States has no desire to obtain special rights or privileges or to establish military bases on Formosa at this time." The question is, what does that phrase "at this time" mean. That phrase does not qualify or modify or weaken the fundamental policies stated in this declaration by the President in any respect. It is a recognition of the fact that, in the unlikely and unhappy event that our forces might be attacked in the Far East, the United States must be completely free to take whatever action in whatever area is necessary for its own security.

[1] See summary of U.S. aid for the period 1937–1949; *United States Relations with China, with Special Reference to the Period 1944–1949* (Department of State publication 3573; 1949), pp. 1042–1053.

[2] Act of Apr. 3, 1948; *ibid.*, pp. 991–993.

[3] See economic cooperation agreement of July 3, 1948; *ibid.*, pp. 994–1001.

tion of the time limit, to bring directly or indirectly to the attention of General Chou En-lai or some other Chinese Communist official the views and intentions of the United States Government. This Mr. Clubb did in a communication to General Chou on January 12, which was received and subsequently returned. At 3:30 p. m. on January 13, Mr. Clubb received an oral communication from a representative of the Military Control Commission that the requisition order would be put into effect from 9:00 a. m. the following day. Immediately upon receipt of this notice, Mr. Clubb orally informed this representative that if the order was carried out it would be the full responsibility of those concerned and against United States Government official protests.[1] Mr. Clubb later in the same day confirmed this message by formal letter.[2]

At 9:50 a. m. on January 14 the premises of the Consulate General were invaded by the police and four civilian officials.

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63. REVIEW OF UNITED STATES POLICY IN RELATION TO CHINA (REPLIES BY THE DEPARTMENT OF STATE TO A SERIES OF QUESTIONS CONTAINED IN HOUSE RESOLUTION 452 (81st CONGRESS, 2d SESSION): Report of the House Committee on Foreign Affairs, February 9, 1950 [3]

The Committee on Foreign Affairs, to whom was referred the resolution (H. Res. 452) requesting the State Department to furnish full and complete answers to certain questions relating to the foreign policy of the United States in the Far East, having considered the same, report adversely thereon and recommend that the resolution do not pass.

The recommendation of the committee is based on the fact that answers to the questions contained in the resolution have been furnished the committee by the Department of State. With the exception of portions of two answers, the publication of which portions is felt by the Department of State would be incompatible with the public interest, the answers are included in this report for the information of the Members of the House, and are as follows:

Question 1

With respect to the President's statement of January 5, 1950,[4] on policy regarding Formosa—

(a) Were the views of the Secretary of Defense solicited in the formulation of the policy enunciated therein?

Comment.—Yes.

Question 1 (b)

Were the above views and the views of the Joint Chiefs of Staff and of Gen. Douglas MacArthur presented to the National Security Council in its deliberations preceding the said statement?

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[1] Department of State Bulletin, Jan. 23, 1950, pp. 122–123.

[2] *Ibid.*, p. 123.

[3] H. Rept. No. 1618, 81st Cong., 2d sess.

[4] *Supra*, doc. 60.

Comment.—The views of the National Military Establishment were presented to the National Security Council in its deliberations preceding the issuance of the President's statement. These views presumably included those of the component parts of the National Military Establishment.

Question 1 (c)

Is Hainan included in the policy enunciated in said statement?

Comment.—Certain portions of the President's statement refer specifically to Formosa. Other portions apply clearly to all areas of China including Hainan. For example, the statements "The United States has no predatory designs on Formosa or on any other Chinese territory . . . the United States will not pursue a course which will lead to involvement in the civil conflict in China" are of general application. The statement "Similarly, the United States Government will not provide military aid or advice to Chinese forces on Formosa" applies to all forces under the Chinese Government high command which is located on Formosa regardless of the present deployment of those forces.

Question 1 (d)

Have the following been considered by the Executive as alternatives to the policy enunciated in said statement?

(1) *Insistence on the execution of the terms of the Cairo Declaration, which provided for the return of Formosa to the Republic of China.*

Comment.—This cannot properly be considered an alternative to the policy enunciated by the President. The President's statement of January 5, 1950 contained a reaffirmation of the Cairo Declaration on the part of the United States in respect to the disposition of Formosa. Formosa has been administered since 1945 by China, the surrender of Japanese forces on Formosa having been made to Generalissimo Chiang Kai-shek.

(2) *Consideration of Formosa as a possession of Japan to be administered by the victor powers until eventual disposition under a peace settlement with Japan.*

(3) *A plebiscite in Formosa, under the auspices of the Far Eastern Commission or a special commission of the UN, to determine whether the inhabitants desire—(a) to continue as a province of and the seat of government of the Republic of China; (b) to be placed under a United Nations trusteeship; or (c) to become an independent nation.*

Comment.—These alternatives were considered. As has been noted under (1) above, Formosa has been administered by China since 1945, when Japanese forces on the island surrendered to Generalissimo Chiang Kai-shek. It was incorporated into China as a province. It is now the seat of the Chinese Government. The Allied Powers associated in the war against Japan have not questioned these steps. The United States Government has not questioned these steps because they were clearly in line with its commitments made at Cairo and reaffirmed at Potsdam. In other words, the Allied Powers including the United States have for the past 4 years treated Formosa as a part of China.

For the United States Government, at this date, to seek to establish a non-Chinese administration on Formosa, either through SCAP or a United Nations or FEC-sponsored plebiscite, would be almost universally interpreted in mainland China and widely interpreted throughout Asia as an attempt by this Government to separate Formosa from China in violation of its pledges and contrary to its long-standing policy of respecting the territorial integrity of China. The important point from the standpoint of our interests in Asia, including mainland China, is not the technical justifications which we might urge for taking such steps but rather the way such action on our part would be viewed by the people of Asia. In this connection we do not wish to create a Formosa *irredenta* issue about which the Chinese Communists could rally support within China and with which they could divert attention from Soviet actions in the North. We must not place ourselves in the unenviable position of the U.S.S.R. with regard to the integrity of China and must remain free to take the position that anyone who violates the integrity of China is the enemy of China and is acting contrary to our own interests.

These are compelling reasons for rejecting the alternatives stated above. There are, of course, additional practical difficulties. The seat of the Chinese Government is now on Formosa and that island, with Hainan, is the only remain-

ing substantial territory now under its control. There is no evidence that the Chinese Government would willingly accomplish its own demise by acquiescing in either of the proposed alternatives. There is likewise the question of military force to carry out the course of action proposed if the Chinese Government refuses its consent, and to defend the island if either proposal were effected. The United Nations, of course, has no forces and it seems clear that any defense of the island would finally rest upon the United States.

In any case the conduct of a plebiscite for the purpose of determining the wishes of the inhabitants on the future disposition of Formosa is beyond the competence of the Far Eastern Commission. The Far Eastern Commission by its terms of reference is "to formulate the policies, principles, and standards in conformity with which the fulfillment by Japan of its obligations under the terms of surrender may be accomplished." [1] The terms of reference also provide that "the Commission shall not make recommendations with regard to the conduct of military operations nor with regard to territorial adjustments."

Question 1 (c) (1)

Does the Bureau have information as to alternate sources of essential commodities such as rice and iron ore to replace Formosa and Hainan as sources of these commodities for Japan in the event of the capture of these islands by the Chinese Communists?

Comment.—In recent years Japan has procured only iron ore from Hainan, in the amount of between 200,000 and 300,000 tons in 1948 and 1949 together. This amount was obtained largely from wartime stocks mined by the Japanese and Hainan's potential rate of current production is not large enough to present a problem of alternative sources. Formosa has exported no rice and no iron ore to Japan in recent years. It was formerly a source of rice for Japan, but recent increases in population and declines in production have been obstacles to exports of rice to Japan since the war. The major commodity exported since the war from Formosa to Japan is sugar, and this has represented from one-sixth to one-fifth of total Japanese sugar imports. The Philippines and Indonesia would be adequate alternative sources of supply. It is probable that Japan could procure from these sources under balanced-trade arrangements, as much or more as it has imported from Formosa. Such arrangements would raise the total level of Japan's trade with these countries. Formosa is also a source of small quantities of salt for Japan; alternative sources are available, particularly in the Red Sea area.

The capture of these islands by the Communists would not necessarily eliminate them as sources of supply of commodities for Japan. Whether the Communists would be willing to engage in such trade upon acceptable terms cannot be predicted.

Question 1 (c) (2)

Does the Bureau have information as to the factor of additional cost of the occupation of Japan to the United States in the event of capture of Formosa and Hainan by the Chinese Communists?

Comment.—The extent to which elimination of Hainan and Formosa as sources of commodities for import into Japan would adversely affect Japan's balance of international payments and thus create additional United States occupation costs cannot be predicted with accuracy. Formosan sugar has generally been priced above the world-market price. It is probable that sugar can be procured elsewhere under balanced trade arrangements which will not impair Japan's balance of payments. For example, Philippine sugar is available to Japan at the world-market price. Procurement of iron ore and salt from alternative sources would not present a problem of major importance. Accordingly, the capture of Formosa and Hainan by the Communists would not greatly increase the cost to the United States, if at all, of defraying the deficit in Japan's payments.

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[1] See Part II of the Moscow Communiqué of Dec. 27, 1945; *A Decade of American Foreign Policy*, pp. 60–62.